

Chapter 1 — Why Accounting Standards Exist (and the Framework beneath them)

This is the most important chapter in the whole subject. Every Accounting Standard you will ever study is just this one idea, applied to a specific situation. Get this, and the other 25 standards stop being 25 things to memorize.

1. The Problem

Imagine two shops on the same street, selling the same goods, earning the same cash. At year end:

- Shop A says "I made ₹10 lakh profit."
- Shop B says "I made ₹2 lakh profit."

Same business, wildly different numbers. How? Because each owner *chose their own rules*:

- Shop A counted a big order as "sold" the moment the customer *promised* to buy. Shop B waited until goods were actually delivered.
- Shop A valued leftover stock at the price it hopes to sell for. Shop B valued it at what it paid.
- Shop A ignored the fact that a machine is wearing out. Shop B subtracted for it.

Now a banker, an investor, and a tax officer look at these accounts. **They cannot trust either number, and they cannot compare the two shops.** Accounting has become opinion. Worse, a dishonest owner can *engineer* whatever profit he wants — high to attract investors, low to dodge tax.

That is the problem: **when everyone measures money their own way, financial statements become useless for the people who rely on them.**

2. The Core Idea

Accounting Standards are a **shared rulebook** that forces every company to measure and report the same economic event the same way.

Think of it exactly like **standard units of measurement**. A "kilogram" means the same thing in every shop, so you can compare and trust weights. Accounting Standards make a "profit," an "asset," a "liability" mean the same thing across all companies. The goal in one word: **comparability** (and its cousins, **reliability** and **transparency**).

Every single rule in every standard exists to push accounting toward: *the numbers should reflect economic reality, be comparable across companies, and be hard to manipulate.*

3. Why it's built this way — the foundations under the standards

Before any specific standard, ICAI (following the global logic) laid down a **Framework** — the "constitution" that all standards must obey. You don't memorize the framework; you understand it, because every standard is downstream of it.

3a. The accounting assumptions (why these three?)

Financial statements are prepared assuming three things are true *unless stated otherwise*. Each one solves a specific problem:

Assumption	The problem it solves	The logic
Going Concern	Should we value assets at "sell-it-all-today" fire-sale prices, or at cost?	We assume the business will <i>continue</i> for the foreseeable future. So a machine is valued by the use we'll get from it, not what a scrap dealer would pay tomorrow. If a business is actually shutting down, this assumption breaks and values change.
Accrual	When cash and the actual economic event happen at different times, which one do we record?	We record the <i>event</i> , not the cash. Sold goods on credit in March? That's March's income, even if cash comes in May. This is the difference between "profit" and "cash" — and the reason accrual accounting exists at all.
Consistency	A company could switch methods every year to flatter its profit.	Once you pick a method, you <i>stick with it</i> year to year, so this year is comparable to last year. You can change only with good reason, and you must disclose it.

3b. Qualitative characteristics (what makes information "good"?)

Information in the accounts should be: - **Understandable** — a reasonably informed reader can follow it. - **Relevant** — it actually helps a decision (would you act differently if you knew it?). - **Reliable** — free from material error and bias; it faithfully represents what happened. - **Comparable** — across years and across companies.

These four are the *test* a standard-setter applies. Whenever you wonder "why does the standard demand this disclosure?" the answer is almost always "to protect relevance or reliability or comparability."

3c. The great tension: Prudence vs. not lying the other way

Here is a subtle idea that explains *dozens* of specific rules:

- **Prudence (conservatism):** when in doubt, **don't overstate** assets or income, and **don't understate** liabilities or losses. Anticipate probable losses, but never anticipate profits. *Why?* Because the dangerous mistake in accounting is optimism — a company that overstates profit misleads investors into losses. So the system deliberately leans cautious.

- **But not too cautious:** if you deliberately *understate* everything, you've also lied and destroyed reliability (hidden "secret reserves"). So prudence is a *lean*, not a licence to lowball.

This single tension is why, for example, stock is valued at **cost OR net realisable value, whichever is lower** (Chapter 3). You'll see prudence everywhere once you know to look for it.

3d. Substance over form

Record the **economic reality**, not just the legal paperwork. If a company "sells" an asset but agrees to buy it back next year at a fixed price, in *substance* it never really sold it — it took a loan with the asset as security. Standards make you record the substance. *Why?* Because form is exactly what a manipulator hides behind.

3e. Materiality

Don't sweat amounts too small to change any reader's decision. A ₹500 stapler in a ₹500-crore company doesn't need to be capitalised and depreciated over 5 years — expense it. *Why?* Because the cost of perfect precision would exceed its benefit, and clutter reduces understandability.

4. The Mechanics — what a "Standard" actually is, and how many

An **Accounting Standard (AS)** is a written document that says, for one topic: *here is how you recognise it, measure it, present it, and disclose it*. Notice those four verbs — they are the anatomy of every standard (you'll meet them formally in Chapter 2):

- **Recognition** — *when* does it enter the books?
- **Measurement** — at *what amount*?
- **Presentation** — *where* on the financial statements?
- **Disclosure** — what extra *explanation* goes in the notes?

Who makes them and who must follow them: - ICAI's Accounting Standards Board drafts them; they get legal teeth via the Companies Act / NFRA. - India runs **two parallel sets: AS** (the older standards, what you study first at Inter) and **Ind AS** (converged with global IFRS, for larger/listed companies). *Why two?* Because forcing a tiny company to follow the full complexity built for a listed multinational would cost more than it's worth — so applicability is tiered (Chapter 2).

IFRS and convergence (the one-line why): capital is global — an investor in New York may fund a company in Nagpur. If every country's accounting differed, cross-border investment would be a guessing game. So the world converged toward common standards (IFRS); India adopted **Ind AS** as its converged version rather than copy-pasting IFRS, keeping a few carve-outs for Indian legal/economic reality.

5. Reasoned example

A company delivers goods worth ₹1,00,000 on 28 March on 60-day credit. Its owner wants to show the profit "only when cash arrives in May" to push it into next year.

Reason it out from principles, don't recall a rule: - **Accrual** says record the *event* (the sale/delivery), not the cash. The earning happened in March — goods left, the customer now owes money. -

Relevance & reliability say March's readers deserve to see March's real performance. - So: recognise ₹1,00,000 as revenue in March, and show ₹1,00,000 as a *receivable* (asset). Cash in May just converts the receivable to cash — no new profit then.

The owner's wish is exactly the kind of manipulation the framework is built to stop. You didn't memorize "revenue recognition timing"; you *derived* it.

6. Connections

- **Chapter 2** turns "recognition / measurement / presentation / disclosure" into a reusable lens for reading *any* standard, and covers AS 1 (Disclosure of Accounting Policies) — which is literally the framework made into a rule.
 - **Prudence** → directly drives AS 2 (inventory at lower of cost/NRV, Ch 3), provisions in AS 29, investments in AS 13.
 - **Accrual** → drives AS 9 revenue, AS 7 construction contracts, depreciation (Ch 4).
 - **Going concern** → underpins asset valuation everywhere, and is a red flag the *auditor* checks (Auditing subject).
 - **Substance over form** → reappears in leases, amalgamation, and consolidation.
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7. Traps & confusions

- **"Profit = cash." No.** Because of accrual, a company can be profitable and still cash-starved (all sales on credit), or cash-rich and loss-making. Keep these two ideas separate. This confusion is the #1 beginner error and the reason the Cash Flow Statement (AS 3) exists as a *separate* statement.
 - **Prudence ≠ pessimism.** You provide for *probable* losses, not *imaginary* ones. Deliberately understating profit is as wrong as overstating it.
 - **"Standards are arbitrary rules to memorize." No.** Each is a solution to a manipulation or ambiguity. Always ask "what would go wrong if this rule didn't exist?" — the answer is the point of the rule.
 - **Consistency ≠ never changing.** You *can* change a method for a genuinely better one; you just must disclose it and its effect, so comparability is preserved by transparency.
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8. First-principles recap

- Accounting Standards exist because **without a shared rulebook, profit becomes opinion** and comparison/trust collapse.
- The whole system optimises for **comparability + reliability + relevance**, expressed through a **Framework** every standard obeys.
- Three assumptions do heavy lifting: **Going Concern** (value by continued use), **Accrual** (record the event, not the cash), **Consistency** (same method year to year).
- **Prudence** makes the system lean cautious (never overstate profit/assets) — but not so far that it hides reality.
- **Substance over form + materiality** keep the numbers honest and readable.
- Every standard is just **recognise / measure / present / disclose** applied to one topic — so learn the *lens*, not 26 separate lists.